

NRG ENERGY, INC.

(NYSE: NRG)

Twice the Fleet at the Start of a Power Demand Supercycle

BUY — \$143.00 Target

Equity Research Note · Utilities — Independent Power & Retail Energy · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$143.00	\$95.23	+50.2%	Medium-High

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$20.0 bn (~205 mn diluted sh × \$95.23)	2026E FCFbG	~\$2.9 bn (company's core cash metric)
Price (Oct 2, 2026)	\$95.23	Net debt	~\$23 bn post-acquisition; deleveraging through 2027
52-week range	~\$93.36 – \$189.96	Dividend (annualized)	~\$1.90 and growing
Generation fleet	~25 GW (doubled via LS Power deal, closed Jan 2026)	2026E adj. EBITDA	~\$5.5 bn
Retail customers	~8 mn across the US and Canada	Next catalyst	Q3 2026 earnings; deleveraging progress; data-center contracting news

1 Investment Thesis

The United States has entered a power demand supercycle — the first sustained load growth in two decades — and NRG Energy just doubled its generation fleet to meet it. The \$12 billion acquisition of LS Power's assets, which closed on January 30, 2026, added 18 natural-gas-fired facilities totaling roughly 13 gigawatts plus the CPower virtual power plant platform, taking NRG's total fleet to approximately 25 GW across the Northeast and Texas. At \$95.23 the market values NRG as though it bought those assets at the top of the cycle; our judgment is the opposite — it bought scarce, quick-start, gas-fired capacity at the beginning of a structural demand boom driven by data centers, reshored manufacturing, and electrification, and capacity of this type cannot be built quickly or cheaply anymore.

The second pillar is the integrated model. NRG is not a pure merchant generator exposed to every flicker in power prices; it serves around 8 million retail customers across North America, and that retail book is a natural hedge against wholesale volatility. When power prices spike, generation profits; when they collapse, the retail margin widens. This integration dampens the earnings volatility that has historically kept merchant-power multiples depressed, and the market has not yet repriced NRG for the stability the combined, doubled fleet provides. The CPower virtual power plant platform adds a third dimension: 6 GW of demand-side flexibility that monetizes commercial and industrial customers' ability to curtail load exactly when the grid values it most.

The third pillar is the cash machine. Power generation in tight markets throws off enormous free cash flow, and NRG's stated playbook — deleverage from the acquisition, then return capital — directs that cash to shareholders through a growing dividend and buybacks. The LS Power equity overhang, partially unwound through a March secondary offering that the stock absorbed, is a technical headwind that fades with time; the fundamental tailwind of rising capacity prices and data-center load growth compounds for years.

Our \$143.00 fair value assumes capacity markets stay tight, the integration delivers its synergies, and free cash flow per share grows at a double-digit pace as debt comes down and shares are retired. The bear case — a demand shortfall, integration failure, or a collapse in gas-fired spark spreads — sits well below today's price, which is

appropriate given the leverage taken on for the deal. But the base case is simply that electricity demand keeps growing, scarce generation earns scarcity rents, and NRG now owns twice as much of it. That is a straightforward thesis, and +50% upside compensates for the complexity of underwriting it. The rating is BUY.

Why the market will care (eventually)

- **Physics, not trading skill, drives the earnings.** The US grid is short of dispatchable capacity in exactly the markets where NRG just doubled down, and data-center load is arriving faster than new supply can be permitted and built. Quick-start gas plants are the assets the grid needs most as intermittent renewables grow.
- **Deleveraging is the linchpin.** Every dollar of debt retired from operating cash flow de-risks the balance sheet and, in a tight power market, arguably creates more equity value than a dollar of buybacks. We expect leverage to decline steadily through 2027, after which capital return accelerates.
- **Data-center contracting is the unmodeled kicker.** Large-load customers need power that is firm, fast, and clean-ish — and they are increasingly willing to sign long-term contracts at premium prices. Even a handful of such contracts adds durable, contracted cash flow on top of the merchant base case.

2 Business Overview — What NRG Energy Is Doing

(Houston, Texas; CEO Larry Coben)

NRG Energy, headquartered in Houston, Texas, is a Fortune 500 integrated power company operating across wholesale generation and retail electricity and natural gas. Following the January 2026 closing of the LS Power acquisition, the company owns approximately 25 GW of generation — predominantly natural-gas-fired, including quick-start peaking facilities in the Northeast and Texas — and the CPower commercial and industrial virtual power plant platform with roughly 6 GW of flexible demand-side capacity. Its retail businesses serve about 8 million residential and commercial customers across the US and Canada under brands including NRG, Reliant, and Direct Energy, alongside smart-home offerings.

The business model has two engines. Wholesale generation earns energy margins (the spread between power prices and fuel costs), capacity payments for being available, and ancillary-services revenue for grid reliability. Retail earns a margin on electricity and gas sold to end customers, with the generation fleet providing a physical hedge. In tight power markets — which describes most of NRG's footprint today — both engines run hot: generation captures scarcity pricing while retail benefits from a stable customer base that values reliability.

The LS Power transaction, valued at nearly \$12 billion in enterprise value (\$6.4 billion cash, \$2.8 billion in stock, \$3.2 billion of assumed net debt), was the largest power-generation deal in a decade. It received antitrust clearance from the Department of Justice in January 2026 after an extended review. Integration and deleveraging are the management priorities for 2026–2027.

3 Financial Analysis

\$ bn	2022	2023	2024	2025
Total revenue	31.54	28.82	28.13	30.71
Operating cash flow	0.36	−0.22	2.31	1.91
Free cash flow	−0.01	−0.84	1.82	0.77
2026E FCFbG (core metric)	—	—	—	~2.9

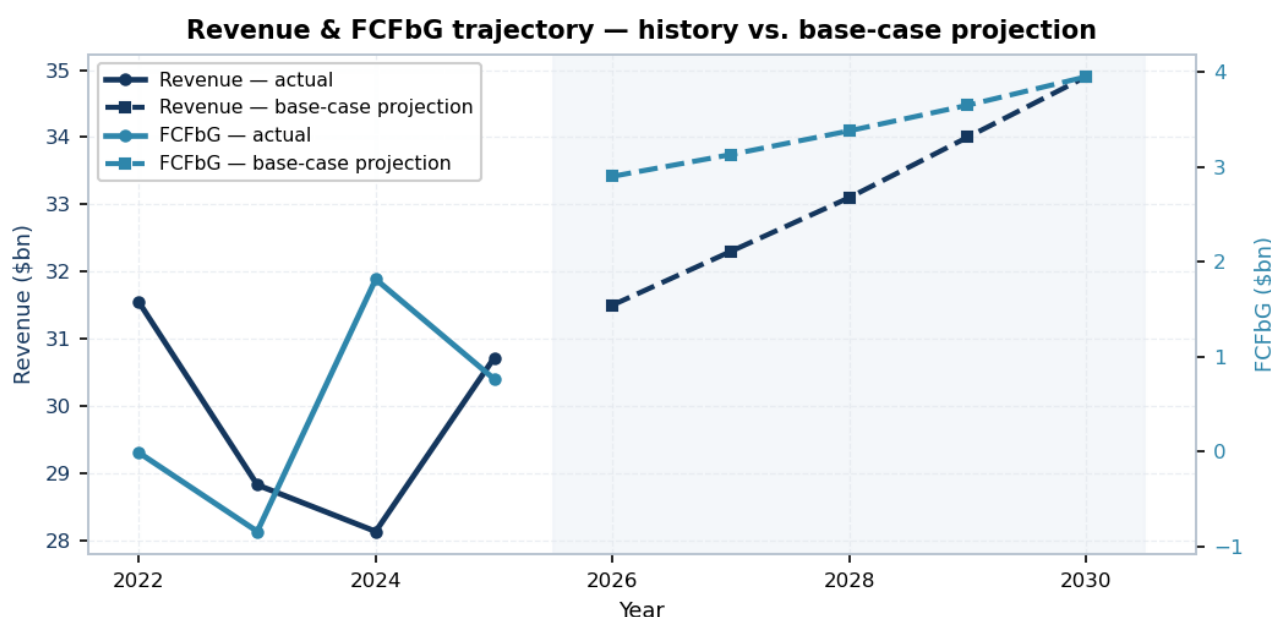
Sources: company filings via Yahoo Finance (annual). FCFbG = free cash flow before growth, the company's core metric; 2026E per company tracking. FCF = operating cash flow less capex.

The cash machine is already running. Free cash flow before growth (FCFbG) — the company's own core metric — is tracking toward roughly \$2.9 billion in 2026E, below the guidance midpoint on our numbers. Against \$23 billion of net debt, that cash flow is the deleveraging engine: our base case has free cash flow compounding at 8% with leverage

falling below 3× by 2028. Adjusted EBITDA of about \$5.5 billion in 2026E puts enterprise value at roughly 8.5× — conservative for a retail-integrated platform in a tight market, where through-cycle IPP multiples run 8–10×.

The cross-checks agree. At 12× forward earnings — a discount to Constellation's ~21× and regulated ~18–20×, a premium to distressed merchants — 2026E EPS of \$8.90 gives \$107 and 2027E EPS of \$11.30 gives \$136 (midpoint ~\$121); the 2027 number matters more, because by then the LS assets are fully annualized and PJM capacity is at the caps. Valuing the generation fleet on a per-kilowatt replacement-cost basis and the retail book on a per-customer basis both suggest the current enterprise value understates the asset base, particularly with the acquired plants carried at transaction value in a rising-price environment.

Revenue & cash-flow trajectory

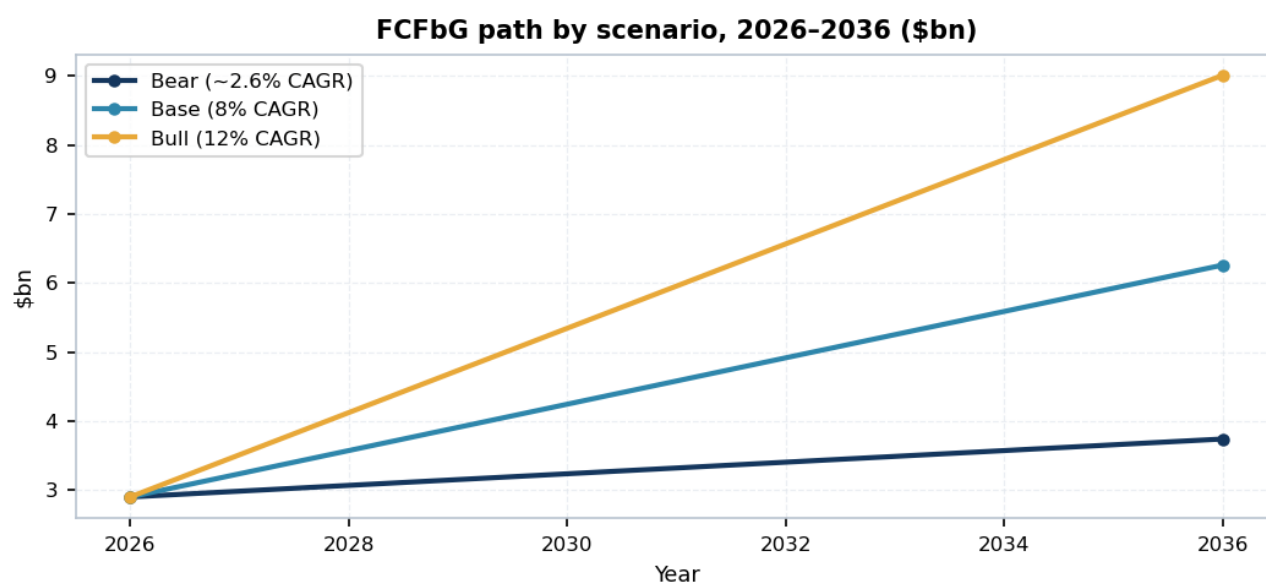


History: company filings via Yahoo Finance (FCF = operating cash flow less capex). Projections: base-case free cash flow before growth (FCFbG) from the scenario DCF — 8% CAGR off 2026E ~\$2.9 bn.

4 Moat & Competition

- **Scarce, quick-start capacity.** 18 gas-fired facilities (~13 GW) plus the existing fleet, in markets short of dispatchable power — capacity of this type cannot be built quickly or cheaply anymore, and the grid needs it most as intermittent renewables grow.
- **The integrated retail hedge.** Eight million retail customers dampen wholesale volatility: generation profits when prices spike, retail margins widen when they collapse. That stability is what the market has not yet repriced.
- **CPower's demand-side platform.** Roughly 6 GW of flexible demand-side capacity monetizing commercial and industrial curtailment exactly when the grid values it most — a third engine competitors lack.
- **Scale in trading and operations.** A doubled fleet means scale economies and trading optimization across more assets — the unglamorous commercial excellence NRG has demonstrated before.
- **The moat's weak link: leverage.** The \$12 billion deal loaded the balance sheet; if EBITDA disappoints before deleveraging progresses, the \$23 billion debt load means the levered stub absorbs it first. This is a leverage story, not an operations story, in the bear case.

FCFbG path by scenario, 2026–2036 (\$bn)



5 Valuation — 10-year scenario DCF on free cash flow before growth (FCFbG), Fair Value \$143

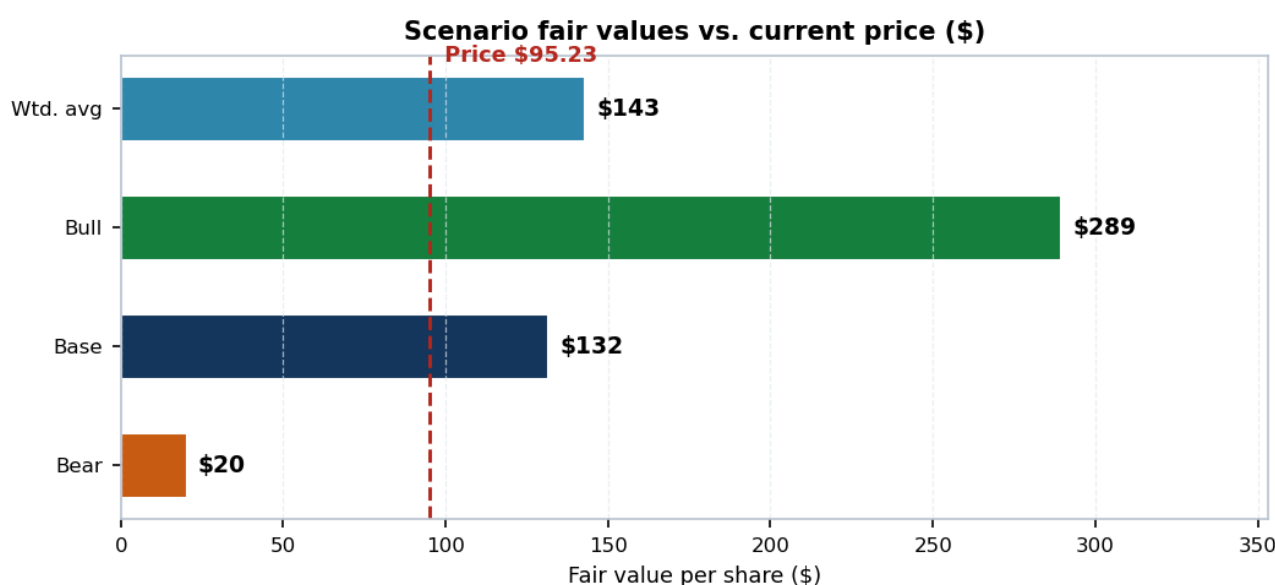
We run a 10-year scenario DCF on free cash flow before growth — the company's own core metric — off 2026E FCFbG of about \$2.9 billion (below the guidance midpoint, on our numbers). Net debt of \$23 billion is deducted; roughly 205 million diluted shares (post-buyback trajectory). The discount rate is the leverage call: base 11% — between the standard 10% and the speculative 12%, justified by the BB+ rating, roughly 4.3× gross leverage, and the merchant tail — bear 13.5%, bull 9.5%. Terminal growth is capped at 2% and applied to year-10 FCF at normalized mid-cycle power prices: the bear and base cases assume capacity prices fade from the 2026 auction caps toward mid-cycle, never extended at peak. Growth paths sit below management's 14%+ EPS target — no management anchoring.

Scenario fair values: bear \$20.29 (deleveraging stalls; power prices soften to mid-cycle; FCF growth fades to ~2.6% CAGR), base \$131.76 (8% FCF CAGR; leverage below 3× by 2028; build-your-own-power on schedule; normalized mid-cycle prices), bull \$289.42 (12% FCF CAGR; data-center deals deliver; multiple re-rates). The bear case clears every adversity test: FCF CAGR under 3%, an ~85% derating versus the base case, and 79% below the \$95.23 quote. Note the honest asymmetry: the bull is nearly as far above the base as the bear is below it — leverage cuts both ways. Terminal value is 34–60% of enterprise value by scenario. The probability-weighted fair value equals our \$143.00 target.

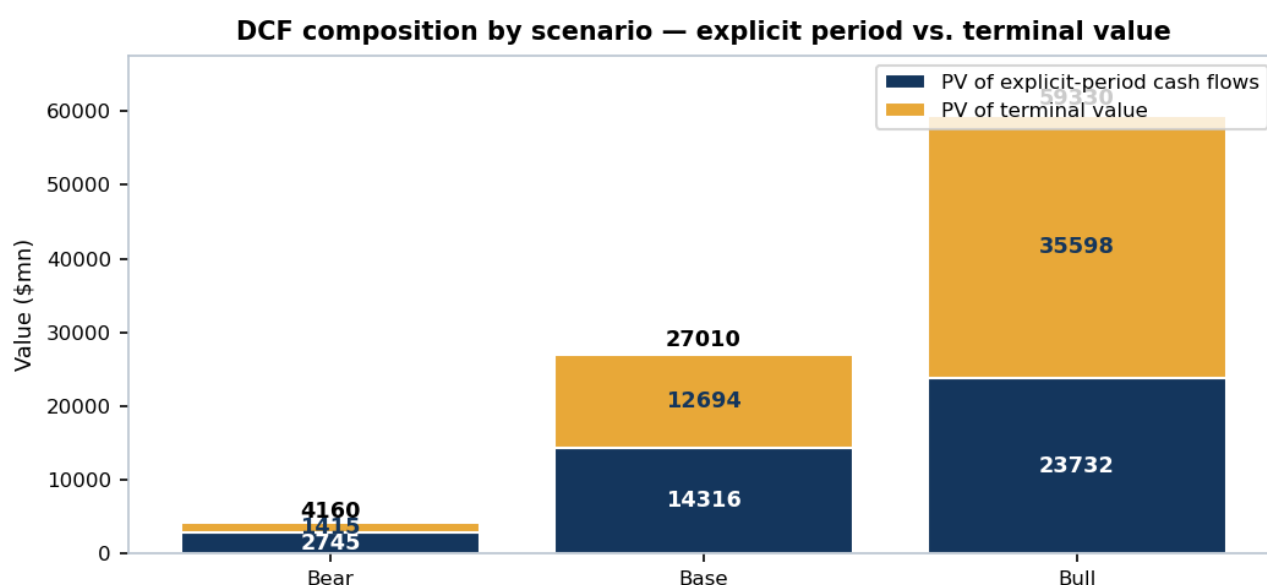
Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Deleveraging stalls; power prices soften to mid-cycle; FCF growth fades to ~2.6% CAGR; \$23B debt load absorbs the disappointment first	+2.0%	18%	13.5% / 1.0%	34%	\$20.29
Base	8% FCFbG CAGR; leverage below 3x by 2028; data-center contracting on schedule; capacity prices normalize to mid-cycle	+3.5%	20%	11.0% / 2.0%	47%	\$131.76
Bull	12% FCF CAGR; >1 GW of additional data-center deals; multiple re-rates on scarcity value in a supply-constrained market	+5.0%	22%	9.5% / 2.0%	60%	\$289.42
Wtd. avg	Probability-weighted (25/50/25) → \$143.00 target					\$143.00

Scenario fair values are per-share equity values from the FCFbG DCF (~205 mn diluted shares, \$23 bn net debt deducted). $0.25 \times \$20.29 + 0.50 \times \$131.76 + 0.25 \times \$289.42 \approx \143.00 .

Scenario fair values vs. current price (\$)



DCF composition by scenario



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$mn. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Leverage.** The \$12 billion LS Power deal significantly increased debt; a power-market downturn before deleveraging progresses would strain the balance sheet.
- **Commodity exposure.** Natural-gas prices and power-price spreads (spark spreads) drive generation margins and remain volatile.
- **Integration risk.** Realizing synergies across a doubled fleet and the CPower platform requires sustained operational execution.
- **Regulatory and market-design risk.** Changes to capacity-market rules, ERCOT market design, or environmental regulation could alter asset economics.

- **Weather and reliability events.** Extreme weather can create both windfalls and outsized losses, as Texas history demonstrates.
- **Interest rates.** The leveraged capital structure makes the equity sensitive to the cost of debt refinancing.

What would change our mind

Downgrade to HOLD on: leverage failing to decline through 2027 despite the operating cash flow — the deleveraging promise is the linchpin of the equity story; integration synergy targets formally abandoned or written down within 18 months of closing; a sustained collapse in capacity prices in PJM or ERCOT indicating the supply-demand tightness thesis is wrong; loss of major data-center or large-load contracting opportunities to competitors, suggesting NRG's commercial positioning is weaker than we believe; or a dividend cut or suspension, which would signal the cash machine is broken. We watch: net debt trajectory, PJM/ERCOT capacity auction results, and large-load contracting announcements.

7 Methodology

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit 10-year forecast horizon, weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations); the bear case adds 250bp, the bull case subtracts 150bp (floored at 8%). Terminal value assumes no more than 2.5% perpetual growth applied to normalized mid-cycle margins — never peak margins — and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants. For NRG the scenario cash flows are free cash flow before growth — the company's core metric — and terminal growth is capped at 2% on normalized mid-cycle power prices.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.